In the Reserve Bank, we started preparing the market for the so-called exit from the crisis-driven measures starting the second half of 2009. We had a rough road map too: we would begin with unwinding the unconventional policies, then move on to withdrawing the liquidity measures and finally, tighten the policy interest rate consistent with the inflation trend. Even as our plans were driven largely by our domestic developments, such as rising output and inflation, which were quite contrarian to the global trends, I was conscious that we had to keep an eye on external developments which continued to be uncertain and unpredictable. It was also clear to me that we had to navigate the reverse path very carefully; interest rates had gone to historically low levels during the crisis and an abrupt reversal would disrupt the recovery.

There was active media speculation on our exit path, and quite unsurprisingly it turned into an FAQ for me. The media would actively quiz me on the considerations that will go into the glide path of the exit. It so happened that I had just recently finished reading Gurcharan Das's much-acclaimed book, *The Difficulty of Being Good,* and the tales of Mahabharata were fresh in my mind. So, in one media conference, without any prior contemplation, I found myself likening the Reserve Bank's situation with regard to 'exit' to that of Abhimanyu who knew how to break into the Chakravyuh, the battle formation of the Kauravas but, because of Krishna's cosmic design, never got to learn how to break out of it. This wasn't the answer to the question but the media was nevertheless happy writing stories about whether I would, like Abhimanyu, get trapped in the Chakravyuh, or, like Arjuna, make a successful exit.

We stayed with our road map by withdrawing the unconventional measures in October 2009, and while doing so, had explicitly signalled that this would constitute the first phase of our 'exit'. We followed up by raising the CRR in the January 2010 policy meeting. Thereafter, we had to deviate from the road map, not so much in sequencing but in timing, as inflation started rising rapidly because of supply-side pressures. It became clear that interest rates had to be raised soon and we thought it inadvisable to wait until the next policy meeting in April 2010. We raised the repo rate through